

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

KAREN MOSES AND ROBERT JUPITER, *Claimants*

v.

SCHUMACHER CARGO LOGISTICS, INC., *Respondent*.

DOCKET NO. 2046(I)

Served: June 9, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding arises from an informal complaint (Claim) and supporting evidence² filed by Karen Moses and Robert Jupiter (Claimants) with the Federal Maritime Commission (“FMC” or “Commission”) against Schumacher Cargo Logistics, Inc. (Respondent). The Claim involves a contract for the transport of household goods and a personal vehicle from the United States to Trinidad and Tobago. Claimants allege Respondent, who arranged the shipping in partnership with a destination agent, violated 46 U.S.C. § 41102(c) of the Shipping Act.

According to the Claim, Respondent and its agent, A.J. Mauritzen and Company, Ltd. (destination agent), repeatedly represented that all import documentation was accurate and compliant with local requirements. Claimants contend that Respondent and its agent made multiple documentation errors throughout the transaction causing additional travel expenses and delays resulting in assessment of port storage and demurrage fees. Due to the errors and delays allegedly caused by Respondent and its agent, Claimants filed a claim with their credit card company to dispute freight charges. According to Claimants, Respondent conditioned continued assistance with customs clearance of their household goods until full remittance of freight was paid. After Claimants received their goods, Respondent allegedly withheld legal title to their vehicle conditioning release upon reversal of the credit card dispute. Without legal title, Claimants assert they could not license, register and insure their vehicle requiring them to incur

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² Claimants included unmarked exhibits with the Small Claim Form and attached “Timeline.” The undersigned cites to Exhibits that follow by page number starting with the first document.

additional expenses to rent a replacement. Claimants contend these acts constitute unreasonable practices and improper charges in violation of 46 U.S.C. § 41102(c). *See Claim*. Claimants request reparations in the amount of \$22,299.33 for demurrage and port storage fees, rental vehicle expenses, travel expenses and destination agent fees. C. Resp. to RFI, at Q10.

Respondent denies liability and contends that any demurrage, storage, documentation or other related charges were caused by third parties. Respondent alleges that changes made to import documentation were necessitated by customs authorities in Trinidad and Tobago (Customs) and were not based on information known in advance. Respondent maintains that all services were fully performed and that all charges were proper and due under the terms and conditions of the contract. Accordingly, Respondent asserts that Claimants are not entitled to any reparations and there is a remaining balance owing to Respondent in the amount of \$13,087.60. *See Answer*; R. Resp. RFI.

B. Procedural History

On February 13, 2026, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (Notice), notifying Respondent Schumacher Cargo Logistics, Inc., of the Claim and directing it to file a response by March 10, 2026. The Notice also instructed Respondent to indicate whether it consented to the use of the Commission's informal procedures at Subpart S for adjudication of the Claim. Notice, at pg. 1.

On March 9, 2026, Martin Baker, CEO and President of Schumacher Cargo Logistics, Inc., responded as *pro se* representative to the Commission with an email (Limited Answer) indicating Respondent does not consent to the proceedings before the Federal Maritime Commission and asserted that, per the contract for carriage of goods, the United States District Court for the Central District of California had mandatory jurisdiction. Unmarked attachments to the email included the contract terms and conditions, now marked Attachment 1, and Respondent's initial quote for services, now marked Attachment 2. *See Limited Answer*.

On March 17, 2026, the Chief Administrative Law Judge appointed the undersigned as Small Claims Officer to adjudicate this proceeding. On the same date, an Order Granting Respondent Time to File a Supplemental Response (Order on Supplemental Response) was issued explaining that Respondent may not decline to participate in a proceeding brought before the Commission but could raise jurisdictional objections in its response to the Claim. The Order on Supplemental Response extended the deadline for Respondent to file a response until March 31, 2026, and Claimants deadline to reply was April 14, 2026. *See Order on Supplemental Response*.

On March 30, 2026, Respondent, through counsel, filed an Answer to Complaint Form (Response) denying liability and disputing Claimants' allegations. Attached to the Response were two unmarked exhibits consisting of the terms and conditions of the contract, now marked as Exhibit 1 and the bill of lading, now marked as Exhibit 2. *See Response*. Although the Response referenced the terms and conditions of the contract for the carriage of goods, the Response did not renew Respondent's earlier jurisdictional objection and consented to adjudication under the Commission's informal procedures in Subpart S. *Id.*

On April 9, 2026, Claimants filed a Response to Respondent's Supplemental Position (Reply) together with documents marked Exhibits A through H. *See* Reply.

Pursuant to 46 C.F.R. § 502.304(a) and (e) of the Commission's Rules of Practice and Procedure, on April 30, 2026, the Small Claims Officer issued an Order Requesting Additional Information and Documents (RFI) from the parties. The parties were ordered to respond by May 14, 2026, and were allowed to file replies to the opposing party's submission by May 21, 2026. *See* RFI.

On May 13, 2026, Claimants filed their response to the RFI (C. Resp. RFI) together with documents marked Exhibits A through Q. *See* C. Resp. RFI. In this pleading, Claimants reduced the scope of requested reparations to \$22,299.33. *Id.* at Q10.

On May 14, 2026, Respondent filed its response to the RFI (R. Resp. RFI) together with documents marked Exhibits 1 through 3. *See* R. Resp. RFI.

On May 15, 2026, Claimants filed a reply to R. Resp. RFI (C. RFI Reply) together with documents marked Exhibits R-1 through R-7. *See* C. RFI Reply.

II. FINDINGS OF FACT ("FF")

1. Claimants are individual consumers who contracted with Respondent to ship household goods and a vehicle for personal use. Claim, at ¶ I.
2. Respondent is a corporation engaged in international freight forwarding and ocean transportation services with a principal place of business located in California. Claim, at ¶ II; Response, at ¶ II.
3. At the inception of the parties' communications, Respondent sent Claimants a door-to-door quote for \$17,687 to ship their household goods and a vehicle from Cherry Valley, Illinois, to Maraval, Trinidad and Tobago. Services included, among other things, preparation of all export documentation, and export and import Customs clearance including ACE filing. The quote specifically excluded import duties & taxes, Customs Exam fees, storage of any kind, Port Storage, and Container Demurrage. A service deposit of \$2,500 was required to accept the quote. Limited Answer, at Attachment 1.
4. Claimants responded that they would be working with their own local customs brokerage team to facilitate the process and requested an itemized cost breakdown so they could assess which services they wanted to engage Respondent to provide. C. RFI Reply, at Exhibit R-1.
5. Respondent replied that "in order for us to be fully accountable and insure a seamless, door to door move, we must be fully in control of all services too,. (sic) Including customs clearance at destination. Our moving partner in Trinidad is a long standing and professional international moving company. They will handle the complete customs clearance and delivery services. By splitting up the customs handling at destination, this could potentially compromise the door to door service and we prefer to avoid that entirely." In a separate email Respondent identified its agent as A.J. Mauritzen and Co., Ltd. and further represented that

“[o]ur partner and us only handle the paperwork and the customs documents process” and “we do not breakdown our cost.” C. RFI Reply, at Exhibit R-1 through R-6.

6. On August 5, 2025, Claimants paid Respondent \$2,615.25 as an installment on freight charges. C. Resp. RFI, at Q9, Exhibit K.
7. Claimants traveled to Trinidad to complete necessary affidavits and documents in August 2025. At that time, Claimants believed that all paperwork was complete and in order. C. Resp. RFI, at Q2; *see also* Claim, at “Timeline” pg. 1.
8. On August 20, 2025, Respondent issued invoice number 528796 for freight and insurance in the amount of \$20,290.60 with a remaining balance due of \$17,790.60. Claim, at Exhibits pg. 1; *see also* R. Resp. RFI, at Exhibit 1a.
9. Mediterranean Shipping Company S.A. (Mediterranean), the carrier, issued master bill of lading MEDUJZ955462 on September 11, 2025, for the transport of Claimants’ goods. Shipco Transport, Inc. is listed as shipper and A.J. Mauritzen & Co., Ltd. is listed as consignee. R. Resp. RFI, at Exhibit 3.
10. Respondent issued house bill of lading MSDUEBKG13877049 listing Karen Moses as shipper and consignee and A.J. Mauritzen & Co. as both ‘to notify’ and destination agent. Claim, at Exhibits pg. 2; R. Resp. RFI, at Exhibit 2.
11. On September 26, 2025, the destination agent submitted a request directly to Mediterranean to amend the master bill of lading to correct the consignee. Response, at pg. 2; R. Resp. RFI, at Q2.
12. On or about October 2, 2025, Respondent agreed to amendment of the master bill of lading MEDUJZ955462 and approved changes requested by the destination agent. Response, at pg. 2.
13. On October 3, 2025, Respondent’s destination agent notified Claimants that the request for an import license for their vehicle was submitted, however, “the affidavit for the vehicle was queried.” The Ministry of Trade requested that “changes be made in order to have the Import License approved: In item 6 in the affidavit, kindly include the date the vehicle has been purchased/owned by the Applicant.” The destination agent then stated the Ministry of Trade required a “remake” or new affidavit and advised that “[w]e will not be able to begin processing until your return if shipment keeps that schedule and the import license is not approved. Note extra charges will also be incurred.” Claim, at Exhibits pgs. 10-12.
14. On October 5, 2025, Karen Moses flew to Trinidad to complete a new affidavit. C. Resp. RFI, at Q2. The cost of the last minute flight to complete the new affidavit was \$751.33. C. Resp. RFI, at Exhibit M.

15. On October 4 or 5, 2025, the shipment arrived at the Port-of-Spain.³ Claim, at Exhibits pg. 139; Response, at pg. 2.
16. On October 13, 2025, the destination agent notified Claimants that the import license was approved, and a customs interview was pending as the next step. Claim, at Exhibits pgs. 3, 13.
17. On October 14, 2025, the destination agent notified Claimants that their shipment arrived but was manifested incorrectly and an amendment was required to proceed with customs clearance. The agent informed Claimants that Customs needed the attached change letter for amendment approval. *Id.* at pgs. 3-4. Claimants returned the letter the same day. C. Resp. RFI, at Exhibit C.
18. On October 14, 2025, Respondent submitted a letter to the Comptroller of Customs & Excise requesting permission to have the consignee amended on the master bill of lading MEDUJZ955462. Respondent explains the clerical error was caused because “the coordinator overlooked specific consignment instructions and simply consigned to the clearing agent. We, Schumacher Cargo Logistics will accept responsibility for the error.” C. Resp. RFI, at Exhibit D.
19. On October 14, 2025, Shipco, the non-vessel operating common carrier (NVOCC), invoiced Respondent for a customs fine surcharge in the amount of \$217 related to the change. R. Resp. RFI, at Exhibit 1c.
20. On October 16, 2025, the destination agent confirmed that the amendment was submitted to the shipping line for Customs approval. Claim, at Exhibits pg. 5; The destination agent advised that the next steps were waiting for amendment approval and an interview with the Customs office. *Id.*
21. On October 18, 2025, demurrage and storage charges began to accrue. *Id.* at pg. 144.
22. On October 23, 2025, the required customs interview took place. *Id.* at pg. 7-8.
23. On October 30, 2025, Customs approved the amended manifest.⁴ C. Resp. RFI, at Exhibit C.

³ The record is inconsistent with respect to the shipment arrival date. Although the estimated date of arrival was October 5, 2025, the destination agent confirmed that the arrival date was October 4, 2025. The exact date was not clarified in the request for information from the parties. *See* C. Resp. RFI, at Exhibit C; R. Resp. RFI, at Q1.

⁴ The record is inconsistent with respect to the date of amendment approval. The destination agent notified Claimants that the date was November 3, 2025, but later provided a timeline stating approval was October 30, 2025. Claim, at Exhibits pg. 8; C. Resp. RFI, at Exhibit C.

24. On November 3, 2025, the destination agent notified Claimants that the customs clearance process would now continue and taxes for the vehicle, as well as detention and demurrage, would be due once the vehicle was assessed and VAT paid. Claim, at pgs. 8-9.
25. On November 4, 2025, Claimants submitted a formal demand letter to Respondent seeking waiver and reimbursement of all storage and demurrage, reimbursement for out-of-pocket expenses incurred in correcting errors to the import license and affidavit, and compensation for the extended period the Claimants had been without their personal household items. Claimants asserted Respondent's negligent representations and failure to exercise due care in the performance of contractual duties were responsible for these losses. *Id.* at pg. 2. Respondent acknowledged the emailed demand on November 5, 2025, and stated it would respond within 24-48 hours. *Id.* at pg. 30.
26. On November 7, 2025, Customs completed document review and assessment of duties and taxes for release of cargo. *Id.* at pg. 139.
27. After receiving no substantive response to their demand letter, Claimants sent multiple follow up emails. *Id.* at pg. 33. Respondent subsequently advised that additional time was needed to contact third parties and investigate the circumstances. In the interim, Respondent recommended that Claimants pay any outstanding storage fees to avoid accrual. Claimants responded that storage fees were among the disputed charges and that they would not make any additional payments until Respondent provided a substantive response to their demand. *Id.* at pgs. 32-34.
28. After review, Respondent asserted the delay in releasing Claimants' goods was due to Customs requests for revisions and were not errors committed by it or its partner in Trinidad. Respondent advised Claimants that the customs release process in the Caribbean is notoriously slow and delays incurring demurrage are quite common. *Id.* at pg. 34-35.
29. Claimants eventually elevated the complaint and demand to Respondent's CEO, Martin Baker. Claimants asserted that, despite full payment of the \$20,290.60 freight invoice and VAT, their household goods have remained at port for over 40 days accruing storage and demurrage due to negligent errors of Respondent and its destination agent. The email advised Respondent that they filed a charge dispute with American Express for the freight payment to Respondent. *Id.* at pgs. 21-23.
30. On November 17, 2025, the destination agent emailed Claimants with the finalized storage and demurrage fees as well as notification of a CES (Container Examination Station) appointment scheduled for November 19, 2025. Storage fees were assessed up to November 19, 2025 and totaled TT\$18,604.80. Also, a breakdown of demurrage fees was forwarded from Mediterranean showing demurrage assessed from October 18, 2025 to November 21, 2025, for a total of 35 days at USD \$103 per day. Including fees, the total demurrage assessment was USD\$3,765/TT\$30,074.40. *Id.* at pg. 136, 144.
31. At this time, Claimants requested that the destination agent provide a timeline of the customs clearance process and declare which party is responsible for demurrage delays. *Id.* at pgs. 138-139. The destination agent simply responded with the following timeline:

Shipment arrived: 4/10/2025
Customs interview: 23/10/2025
Amendment Approved by Customs: 30/10/2025
Document/Agency Release: 7/11/25
Lodge for screening/Examination Appt: 10/11/2025

Id. at pg. 139.

32. Respondent followed up on November 17, 2025, with an email to all involved parties stating “while there were indeed modifications and amendments needed for some of the paperwork, this did not alter the amount of time Customs normally requires to receive, process and schedule an appointment. Amendments and modification to bills of lading are frequently required by Customs in advance and this is not unique to Trinidad and Tobago. Demurrage and shipping line penalties are, as indicated earlier, a standard part of the process in many Caribbean and South American countries, and Trinidad and Tobago is no exception. As you’re aware, our contract (represented by the terms and conditions you agreed to when booking the move), and quotation explicitly exclude any port storage and demurrage costs.” *Id.* at pg. 155.
33. Claimants continued to dispute Respondent’s characterization of the matter as a normal Customs delay. Claimants demanded confirmation from Respondent that it made documentation errors, a written position regarding shared costs, negotiated reduction, or goodwill waiver request to the port or carrier and Respondent’s intervention on Claimants’ behalf with these entities. *Id.* at pgs. 156-157.
34. After additional exchanges, Mr. Baker intervened and advised Claimants that they have the right to explore legal challenges to their service agreement at a later point but, in the interest of releasing the cargo, suggested that Claimants cancel the dispute with American Express and pay the freight fees on their account. *Id.* at pg. 159. Claimants responded that they are not refusing to pay but merely engaging in a formal consumer protection process. *Id.* at pgs. 161-162. Mr. Baker responded, “[t]ill (sic) you fully authorize Amex payment unfortunately services and delivery cannot be processed.” *Id.* at pg. 163. Claimants eventually agreed to proceed with releasing the American Express hold on funds but noted they were doing so under duress. *Id.* at pg. 192. Confirmation of release of the disputed funds occurred later on November 17, 2025. *Id.* at pg. 193.
35. Despite their continued dispute regarding liability, Claimants also paid storage fees in the amount of TT \$18,604.80 and demurrage in the amount of TT \$30,074 to proceed with the customs clearance process. C. Resp. RFI, at Exhibit L1-L3.
36. On November 18, 2025, Mr. Baker notified Claimants that, although the authorities have not provided an inspection appointment date, their container was set to be released to the CES inspection site the following day. Claim, at Exhibits pg. 202.
37. Claimants responded to Mr. Baker with an email asserting new information provided by the destination agent contradicts Respondent’s prior contention that documentation errors did not cause delays and associated demurrage and storage fees to accrue. According to the

destination agent, the shipping company noted the manifest error and the agent attempted to reach Respondent for correction before the shipment arrived. While the error did not delay the customs interview on October 23, 2025, it did delay the customs process between the interview date and October 30, 2025, when the amendment was approved. *Id.* at pgs. 212-213.

38. On November 20, 2025, the CES examination took place. C. Resp. RFI, at Exhibit F.
39. On November 25, 2025, Claimants confirmed receipt of their container and vehicle; however, they did not receive any of the Customs or shipping documents, including original title for their vehicle. The destination agent confirmed it would have the documents ready for pick up later that day. Claim, Exhibits at pg. 151.
40. Claimants learned the destination agent only had a copy of the vehicle title in its possession. Claimants contacted Respondent and asked that the original title given to Respondent for shipment be located and forwarded to their address in Trinidad. *Id.* at pg. 14, 90.
41. Between December 2 and 8, 2025, Mr. Baker and Claimants exchanged emails regarding the fact that Claimants failed to cancel the freight fee dispute with American Express as agreed. Respondent informed them that the original title to their vehicle was located with the origin agent; however, Respondent conditioned provision of the vehicle title on payment of the outstanding freight fees. *Id.* at pgs. 15-18, 88-89, 97, 100, 108, 118.
42. Respondent's accounting department also contacted Claimants to notify them that the August 5, 2025 payment in the amount of \$2,616.25 was also being held by American Express. The accountant advised Claimants that title to the vehicle would be sent upon reversal of the chargeback with the credit card company and warned them that the last chargeback took 18 days. *Id.* at pgs. 90-91, 103. Claimants contested this stating the original vehicle title is their "legal personal property and may not be held as collateral, freight or security under any shipping agreement." *Id.* at pg. 92. The parties continued to exchange a series of emails asserting the same dispute through December 22, 2025. *Id.* at pgs. 19, 85, 149.
43. In January of 2026, Claimants and the destination agent exchanged communications concerning ongoing issues with a C82 form the destination agent prepared in order to license and register the vehicle. The destination agent stated, "[a]fter reviewing emails and correspondence with Schumacher Cargo, we would appreciate that in good faith you pay the following US\$17,790.60/TT\$120,976.08 until your matter with the Credit Card company is resolved and you can settle fully with Schumacher Cargo. You have received your goods and all parties have performed the agreed services. It may not be to your satisfaction, but we cannot agree to only receiving funds for destination services. Upon receipt of funds in our account, we will release the document to you." C. Resp. to RFI, at Exhibits G, H, I.
44. On February 2, 2026, Claimants paid USD\$4,730/TT\$31,980 to the destination agent for release of the C82 form. C. Resp. RFI, at Q10, Exhibit P.
45. On May 7, 2026, Claimants sought clarification from the destination agent in order to respond to the questions posed in the Order Requesting Additional Information and Documents. The agent provided the following timeline:

New affidavit requested: 3/10/2025
Received and import license application relodged
Shipment arrived: 4/10/2025
Amendment request made to Shipping line: 13/10/2025
Customs interview granted: 23/10/2025
Amendment Approved: 30/10/2025 Document/Agency Release: 7/11/2025
Lodge for screening/Examination Appt: 10/11/2025
Note that the processing of the amendment did not delay the submission to customs for the pre-check and customs interview appointment. Once the amendment was received, the final entry was submitted on 3/11/25 for release.

Id. at Exhibit C.

46. Claimants state the American Express dispute corresponding to a freight transaction dated August 29, 2025, was resolved in their favor and a credit issued in the amount of USD \$18,617.86. *Id.* at Q11, Exhibit Q.

47. Claimants request reparations in the amount of \$22,299.33 for the following expenses:

Demurrage and port storage	\$7,190
Rental Vehicle	\$9,655
Flight to Complete New Affidavit	\$751.33
Destination Agent Payment	\$4,703

Id. at Q10.

III. DISCUSSION

A. Jurisdiction

Respondent initially challenged the Commission’s jurisdiction in its Limited Answer and argued the terms and conditions of the contract between the parties mandated jurisdiction in the United States District Court for the Central District of California. *See* Limited Answer. Although Respondent did not renew that objection in its subsequent formal Response, it is “elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy.” *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, Docket No. 98-23, 28 S.R.R. 1178, 1999 WL 35841898, at *1 (ALJ Nov. 23, 1999); *see also River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, Docket No. 96-06, 28 S.R.R. 751, 762, 1999 WL 125991, at *17 (FMC Feb. 3, 1999) (“As the ALJ correctly held, an agency must reach jurisdictional issues before addressing the merits of a case”) (internal citations omitted).

The Shipping Act provides that any person may file with the Federal Maritime Commission a sworn complaint alleging a violation occurring in connection with foreign commerce of the United States and may seek reparations for injury caused by a violation. 46 U.S.C. § 41301(a); 46 C.F.R. § 502.301(a). Pursuant to this authority, the Commission has jurisdiction over complaints alleging violations of the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission was obligated to hear allegations particular to the

Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also* *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations). This duty to adjudicate claims arising under the Shipping Act exists even if the underlying facts may also give rise to other claims between the parties. *See MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024).

Shipping Act claims are distinct from breach of contract or common law negligence and apply different statutory standards, including review of practices that extend beyond the individual complainant and broadly affect the shipping public. As the Commission recently explained, “[w]hile breach of contract claims are resolved in court or as otherwise agreed by the parties, a claim for violation of the Shipping Act may only be resolved by the Commission.” *SeaFair USA LLC v. Sterling Container Line, Ltd. and Atlantic Forwarding, Ltd.*, Docket No. 22-34, 2024 WL 1741926, at *8 (FMC April 15, 2024).

Therefore, even though the terms and conditions of the contract for carriage of goods in this case confers jurisdiction to the United States District Court for the Central District of California, this provision would only govern claims arising under the contract itself. This does not divest the Commission the authority to adjudicate alleged violations of the Shipping Act. Because Claimants alleged violation of section 41102(c), the Commission has jurisdiction over this proceeding.

B. Evidence and Burden of Proof

A complainant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

C. Agency Relationship

As an initial matter, Respondent’s pleadings attempt to distance itself from the actions of the destination agent, A.J. Mauritzen & Co., Ltd. However, agency law establishes that when a principal has entrusted its agent with authority to conduct certain affairs, it cannot later on disavow the agent that has acted within its authority. *Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 1991 WL 383091, at *16 (ALJ Sept. 18, 1991) (summarizing 3 Am Jur 2d, Agency, secs. 78 and 79, “if a principal acts or conducts his business, either intentionally or through negligence, or fails to disapprove of the agent’s act or course of action so as to lead the public to believe that his agent possesses authority to act or contract in the name of the principal, such principal is bound by the acts of the agent within the scope of his apparent authority as to

any person who, upon the faith of such holding out, believes, and has reasonable ground to believe, that the agent has such authority, and in good faith deals with him.”).

Respondent’s position disregards the fact that at many points in the timeline of events Respondent represented that A.J. Mauritzen & Co., Ltd. was its agent. The initial emails between the Claimants and Respondent characterize A.J. Mauritzen & Co., Ltd. as its “partner” and “agent” and pressure Claimants to use this service so that Respondent could ensure full accountability and seamless delivery from door-to-door. FF 5. Respondent included services of the destination agent in its quote to Claimants and refused to breakdown costs so that Claimants could decide whether to use these services or handle customs clearance themselves. *Id.* Finally, the record shows that A.J. Mauritzen & Co., Ltd. operated at the direction of Respondent with respect to withholding services until Respondent was paid. FF 43. Accordingly, Respondent is responsible for all acts and omissions of A.J. Mauritzen and Co., Ltd. as its agent and the actions of both entities are considered.

D. Section 41102(c) Violation is Not Established

Claimants allege Respondent’s conduct constitutes unreasonable practices and improper charges in violation of 46 U.S.C. § 41102(c).

Section 41102(c) of the Shipping Act provides that a “common carrier, marine terminal operator, or an ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.” 46 U.S.C. § 41102(c).

By regulation, the Commission also identified the following elements that must be met to establish a claim under the statute:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The first element, that Respondent is a regulated entity, is met. An ocean transportation intermediary is defined as either an ocean freight forwarder or an NVOCC. 46 U.S.C. § 40102(20). Here, the parties agree that Respondent is a freight forwarding company and meets the definition of an ocean transportation intermediary. Claim, at ¶ II; Response, at ¶ I. Accordingly, Respondent is a regulated entity.

The facts, however, do not establish the second required element that the claimed acts or omissions of Respondent occurred on a normal, customary, and continuous basis.

In rulemaking for 46 C.F.R. § 545.4, the Commission clarified that section 41102(c) is not intended to cover an isolated incident, but rather a pattern of behavior on a “normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b). The types of business practices appropriately adjudicated under section 41102(c) involve practices that “negatively affect the broader shipping public.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2012) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367, 45368 (Sept. 8, 2018)). In its discussion, the Commission rejected a line of previous cases that held “discrete conduct with respect to a particular shipment, if determined to be unjust and unreasonable, represents a violation of §41102(c), regardless of whether that conduct represents a respondent’s *practice or regulation*.” *Id.* (emphasis in original). The Commission explained, “[t]hese decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in practice or regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act.” *Id.* (emphasis in original). The Commission reiterated this intent in the final rule stating the rule “was never intended to be a method of resolving every dispute that arises in the receiving, handling storing or delivering of cargo.” *Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). Instead, the Commission determined that a violation of § 41102(c) historically requires a showing that, “... the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” *Id.* (citations omitted). “Commission precedent has made it clear that a single shipment or isolated act or omission does not show a pattern or practice.” *See Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Docket. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021) (citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept 1, 2020)).

The Commission recognized that this interpretation would limit the types of claims that may be brought before the Commission, but determined this interpretation aligns more closely with the purpose of the Shipping Act. Traditional legal venues to adjudicate contract law, agency law or admiralty law would continue to be available to parties injured by a discrete instance of unreasonable and unjust conduct. *See Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367 (Sept. 8, 2018).

In the present case, the facts involve an isolated shipment of household goods. However, Claimants are asserting Respondent’s conduct was unjust and unreasonable, due to a series of errors committed by Respondent and its partner agent A.J. Mauritzen & Co., Ltd., which forced them to make payments under duress to continue the customs clearance process. In addition, Claimants maintain that Respondent repeatedly refused to release title to their vehicle unless Claimants reversed their American Express credit card dispute for freight payment. Collectively, Claimants assert Respondent engaged in unjust and unreasonable conduct on a normal, customary, and continuous basis. *See Claim; Reply*, at pgs. 3-4.

Claimants' assertions incorporate two types of transgressions: errors in customs documentation and improper business practices in relation to withholding Claimants property until payment was remitted under duress. Each of these bases will be examined in turn.

1. Documentation Errors

The record reveals two separate documentation issues. First, the vehicle import license was insufficient and required a new affidavit with additional information. Second, the master bill of lading between Shipco and Mediterranean incorrectly identified the destination agent as consignee.

The destination agent contacted Claimants on October 3, 2025, advising them that the Ministry of Trade had queried their vehicle import license and requested an additional notation on the affidavit to include the date the vehicle was purchased/owned by the applicant. FF 13. Customs authorities required a new affidavit rather than an amendment. *Id.* Claimants were advised that the new affidavit would need to be completed by the date the shipment arrived to avoid delays in the clearance process. *Id.* This necessitated Karen Moses to make a last minute flight to Trinidad on October 5, 2025. FF 14.

The language of the destination agent's emails demonstrate that the Ministry of Trade made an independent decision during the document review process to request additional information and require a new affidavit. Claimants have not established that Respondent or the destination agent failed to include all information that is customarily required on the affidavit. This determination is supported by Claimants' statement that they filled out an import license affidavit template while at the offices of the destination agent in August of 2025. C. Resp. RFI, at Q2. This statement infers that the standard Customs template form did not require entry of the date the vehicle was purchased/owned and that this represented additional information queried by Customs.

Moreover, on October 13, 2025, the destination agent notified Claimants that the import license was approved, and the next required step, a customs interview, was pending. FF 16. Claimants' free days at the port did not end until October 18, 2025; therefore, no storage or demurrage charges accrued as a result of the need for a new affidavit.

The second issue, the manifest error, was discovered on or about September 26, 2025, shortly after the shipment left the United States. Respondent's agent began the process of seeking correction of the master bill of lading with Shipco and Mediterranean. FF 11. Respondent agreed to the amendment on October 2, 2025. FF 12. The record is unclear what occurred with this process between October 2, 2025 and October 13, 2025, when the agent requested that Respondent submit a letter to the Comptroller of Customs and Excise asking permission to amend the manifest. FF 18. Respondent promptly completed the letter accepting responsibility for the manifest error and submitted the document to Customs authorities on the same date. *Id.* Because these letters were specifically requested by Customs, it is inferred that authorities requested them in addition to corrections Mediterranean made to the master bill of lading. This is supported by the Shipco invoice for a customs fine, rather than an amendment fee. FF 19.

The customs interview, which was the next step in the clearance process, was already pending when storage and demurrage began to accrue on October 18, 2025. FF 16, 21. The interview was scheduled well before the amendment request. Therefore, any storage or demurrage resulting from the need for an amendment would not begin until after the customs interview took place in the normal course of the clearance process. This is supported by the May 7, 2026 email from the destination agent explaining that the amendment approval did not delay the customs pre-check or interview appointment. FF 45. Nonetheless, the Customs office did not approve the amendment until October 30, 2025, which postponed final entry and release of the cargo. Although part of this delay stemmed from the slow pace of Customs processing, Respondent acknowledged its initial error in the manifest, which subsequently caused unnecessary storage and demurrage to accrue from October 23, 2025 through October 30, 2025.

Customs completed document review and assessment of duties and taxes for release of the cargo on November 7, 2026. FF 26. Ordinarily, final release is the last step of the Customs process unless the cargo is selected for a CES examination. Claimants have not established any facts to show that selection for CES inspection is attributable to an act or omission of Respondent or its agent rather than an independent determination by Customs.

The record establishes that Respondent made a manifest error affecting Claimants' shipment and causing storage and demurrage fees to accrue from October 23, 2025 through October 30, 2025. However, this isolated documentation error is insufficient to establish that Respondent engaged in an unjust and unreasonable practice within the meaning of 46 C.F.R. § 545.4, as the record does not establish that Customs errors occurred on a normal, customary, and continuous basis.

2. Withholding the Vehicle Title

Claimants also assert that Respondent and its agent withheld continued services and legal title to their vehicle until the \$17,709 payment for freight was released from an American Express credit card dispute. Claimants assert they were required to reverse their rightful legal dispute over these funds under duress and dispute Respondent's legal right to retain their property.

Historically, a maritime lien is considered a privileged claim upon property. If a shipper does not pay full freight, a carrier may lawfully withhold the cargo. *See MAVL Capital Inc. v. Marine Trans. Logistics, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *21 (FMC Sept. 29, 2012) initial decision on remand (citing *Bird of Paradise*, 72 U.S. (5 Wall.) 545, 554, 18 L. Ed. 662 (1866) ("Ship-owners, unquestionably, as a general rule, have a lien upon the cargo for the freight, and consequently may retain the goods after the arrival of the ship at the port of destination until the payment is made.")). However, this right is dependent upon the carrier's continued possession of the goods, "[a] carrier can withhold delivery of cargo to compel the shipper to pay freight money that is lawfully owed and has a cargo lien which the carrier can assert, if necessary, which lien the carrier loses if surrenders the cargo." *Id.* at *22.

Here, Respondent surrendered the container and vehicle upon Claimants' representation that they had reversed the American Express credit card hold on the freight funds. FF 34. However, Respondent maintained possession of the original title to the vehicle. FF 41, 45. Under

the terms and conditions of the contract for carriage of Claimants' goods, the term "goods" means "any and all property (cargo) described on the face hereof or on any attached or referenced manifest... irrespective of whether such cargo is to be or is carried on or under deck." Response, at Exhibit 1. Emails from the Claimants indicate that the original title to the vehicle was provided to Respondent with the intent that it be shipped along with the vehicle. FF 41; Claim, at Exhibit pg. 15. This was overlooked and the original title was located with the origin agent. FF 41. Pursuant to the definitions in the contract, the original vehicle title could reasonably be construed as to constitute cargo, which would entitle Respondent to a maritime lien.

Nevertheless, the Commission need not resolve whether the original title constituted cargo subject to a maritime lien. Even assuming, without deciding, that Respondent lacked a lawful basis to retain the title after release of the vehicle, the record fails to establish that Respondent's conduct reflects a normal, customary, and continuous business practice of improperly withholding customer property in freight payment disputes. The record contains no evidence that the challenged conduct was an "often repeated, systematic, uniform, or habitual" business practice as required by 46 C.F.R. § 545.4(b). *See Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018).

Claimants must prove all elements in 46 C.F.R. § 545.4(b), including that the challenged conduct occurred on a normal, customary, and continuous basis. Claimants contend that the multiple errors in customs documentation and retention of their vehicle title pending payment demonstrates a pattern of unjust and unreasonable business practices. The evidence, however, concerns Respondent's handling of a single shipment and payment dispute. To satisfy the "normal, customary, and continuous" requirement in 46 C.F.R. § 545.4, Claimants must demonstrate that the challenged conduct represents Respondent's customary manner of doing business, and not merely that Respondent acted unreasonably in the context of a single transaction. Accordingly, Claimants have not established a violation of 46 U.S.C. § 41102(c) and are not entitled to reparations under the Shipping Act. This conclusion does not decide whether Claimants may have valid claims for relief under other principles of law in an alternative forum.

IV. ORDER

For the reasons discussed above, it is **HEREBY ORDER** that Claimants' Claim is **DENIED** and **DISMISSED**.

Debra L. Tesh -S
Digitally signed by Debra L. Tesh -S
Date: 2026.06.09 12:36:52 -06'00'

Debra L. Tesh
Small Claims Officer